

United Microelectronics Corp.

Improving mature node fundamentals, but thematic optimism overhyped

Reiterate Rating: UNDERPERFORM | PO: 120.00 TWD | Price: 126.00 TWD

Expanding TAM beyond better core business exaggerated

We stay Underperform but raise PO from NT\$63 to NT\$120 on 17x '27 P/E (was 15x, vs. its 2-25x range), with EPS at NT\$5.11/NT\$7.09/NT\$9.60 in '26/27/28 on improving utilization/pricing. While the business sets to recover, the expectations are too high on 1) silicon photonics opportunity vs. BofAe 3%/6% of UMC's sales in '27/28, 2) option in specialty memory production which we believe is a cyclical fab filler and 3) collaboration with Intel on 12nm vs. our understanding of limited customer traction. We see downside risk in its business exposure with 80%+ of its sales from traditional tech products which could see inventory builds moderate, pressuring the pace of price hike vs. our base case.

Mature node supply improves though not a game changer

Factoring 1) limited customer overlap for China and non-China foundries following the supply chain de-coupling, 2) TSMC retiring 6", 8" and mature 12" equipment by ~130k WPM in '25-27 as it optimizes capacity but limits impact on the existing business and has flexibility to add in its overseas fabs and 3) Samsung reducing its 8" and selective mature 12" capacity, our supply/demand model shows mature 12" industry ex-China utilization improves from low-80% in '26 to 85-90% in '27 but more encouraging for 8" from high 80% in '26 to 90-95% in '27. For UMC, we model its wafer pricing could be up 10%/10-15% YoY in 4Q26/27 at 85%/90% utilization in '26/'27, lifting GMs to 31.9%/36.9% but shy of aggressive expectations of 40-45% GMs at 100% utilization.

2Q26 tracking stronger; 2H26 price expectations elevated

UMC's 2Q26 sales was up 13% QoQ, consistent with the feedback from major fabless seeing resilient consumer demand. While its business could be resilient +10% in 3Q26 on its customers' early build to mitigate the impact of cost hike, we would be more cautious on the year-end inventory adjustment and customers' pushback on pricing.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	47,211	41,716	63,859	88,529	119,973
EPS	3.80	3.34	5.11	7.09	9.60
EPS Change (YoY)	-23.0%	-12.0%	53.0%	38.6%	35.5%
Consensus EPS (Visible Alpha)			4.67	5.70	7.61
Dividend / Share	2.85	2.50	2.85	2.85	2.85
Free Cash Flow / Share	0.428	4.17	4.37	7.27	9.00
ADR EPS (US\$)	0.591	0.536	0.788	1.09	1.48
ADR Dividend / Share (US\$)	0.444	0.401	0.439	0.439	0.439
Valuation (Dec)					
P/E	33.19x	37.71x	24.65x	17.78x	13.12x
Dividend Yield	2.26%	1.98%	2.26%	2.26%	2.26%
EV / EBITDA*	16.35x	15.81x	12.84x	9.86x	8.36x
Free Cash Flow Yield*	0.336%	3.29%	3.44%	5.73%	7.10%

* For full definitions of *IQmethod*SM measures, see page 7.

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Refer to important disclosures on page 8 to 11. Analyst Certification on page 5. Price

28 July 2026

Equity

Key Changes

(NT\$)	Previous	Current
Price Obj.	63.00	120.00
2026E EPS	4.11	5.11
2027E EPS	4.20	7.09
2028E EPS	4.71	9.60
2026E EBITDA (m)	109,888.8	123,600.6
2027E EBITDA (m)	118,142.6	160,944.5
2028E EBITDA (m)	117,088.4	189,734.2

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Stock Data

Price (Common / ADR)	126.00 TWD / 19.48 USD
Price Objective	120.00 TWD / 18.97 USD
Date Established	28-Jul-2026 / 28-Jul-2026
Investment Opinion	C-3-7 / C-3-7
52-Week Range	40.10 TWD - 185.50 TWD
Market Value (mn)	48,837 USD
Market Value (mn)	1,584,700 TWD
Shares Outstanding (mn)	12,577.0 / 2,515.4
Average Daily Value (mn)	856.43 USD
Free Float	88.4%
BofA Ticker / Exchange	XUMIF / TAI
BofA Ticker / Exchange	UMC / NYS
Bloomberg / Reuters	2303 TT / 2303.TW
ROE (2026E)	16.6%
Net Dbt to Eqty (Dec-2025A)	-23.2%

iQprofileSM United Microelectronics Corp.

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT\$ Millions)					
Sales	232,303	237,553	285,303	360,016	415,809
Gross Profit	75,654	68,906	90,975	132,800	172,256
Sell General & Admin Expense	(9,819)	(9,225)	(10,820)	(12,102)	(12,906)
Operating Profit	51,613	43,949	62,922	101,426	138,797
Net Interest & Other Income	4,607	5,699	10,596	3,862	3,902
Associates	NA	NA	NA	NA	NA
Pretax Income	56,220	49,648	73,517	105,288	142,699
Tax (expense) / Benefit	(9,113)	(8,113)	(9,874)	(17,057)	(23,130)
Net Income (Adjusted)	47,211	41,716	63,859	88,529	119,973
Average Fully Diluted Shares Outstanding	12,437	12,485	12,491	12,491	12,491

Key Cash Flow Statement Data

Net Income	47,211	41,716	63,859	88,529	119,973
Depreciation & Amortization	45,472	56,427	60,679	59,519	50,937
Change in Working Capital	(3,721)	2,160	(14,474)	(6,587)	(7,652)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	4,910	(439)	(9,011)	(4,160)	(4,306)
Cash Flow from Operations	93,872	99,864	101,053	137,300	158,953
Capital Expenditure	(88,544)	(47,745)	(46,500)	(46,500)	(46,500)
(Acquisition) / Disposal of Investments	3,595	(7,688)	(7,905)	0	0
Other Cash Inflow / (Outflow)	(993)	2,278	1,084	2,000	2,000
Cash Flow from Investing	(85,941)	(53,154)	(53,322)	(44,500)	(44,500)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	0	0	0	0	0
Cash Flow from Financing	(39,200)	(39,204)	(35,133)	(35,849)	(35,849)
Free Cash Flow	5,328	52,119	54,553	90,800	112,453
Net Debt	(86,486)	(87,980)	(107,641)	(165,467)	(244,988)
Change in Net Debt	50,324	39,360	(13,905)	(56,952)	(78,604)

Key Balance Sheet Data

Property, Plant & Equipment	279,059	271,395	248,375	234,362	228,419
Other Non-Current Assets	101,464	102,817	115,092	115,144	115,148
Trade Receivables	33,343	31,274	40,867	46,460	52,698
Cash & Equivalents	115,239	128,365	144,442	201,267	279,788
Other Current Assets	41,096	45,144	49,727	51,102	53,151
Total Assets	570,201	578,996	598,503	648,336	729,204
Long-Term Debt	9,243	12,789	12,912	12,912	12,912
Other Non-Current Liabilities	107,512	98,754	109,809	110,964	111,042
Short-Term Debt	19,510	27,597	23,888	22,888	21,888
Other Current Liabilities	55,750	60,001	60,262	60,963	61,650
Total Liabilities	192,016	199,141	206,871	207,728	207,492
Total Equity	378,185	379,855	391,632	440,608	521,712
Total Equity & Liabilities	570,201	578,996	598,503	648,336	729,204

iQmethodSM - Bus Performance*

Return On Capital Employed	9.2%	7.5%	10.6%	15.4%	18.8%
Return On Equity	12.8%	11.0%	16.6%	21.3%	24.9%
Operating Margin	22.2%	18.5%	22.1%	28.2%	33.4%
EBITDA Margin	41.8%	42.3%	43.3%	44.7%	45.6%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	2.0x	2.4x	1.6x	1.6x	1.3x
Asset Replacement Ratio	1.9x	0.8x	0.8x	0.8x	0.9x
Tax Rate (Reported)	16.2%	16.3%	13.4%	16.2%	16.2%
Net Debt-to-Equity Ratio	-22.9%	-23.2%	-27.5%	-37.6%	-47.0%
Interest Cover	29.4x	27.4x	41.8x	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

Semiconductors

Company Description

Founded in 1980, United Microelectronics Corporation (UMC), and listed in 1985, UMC is the second biggest foundry company in Taiwan. It has about 8% market share in the foundry space, and the number is higher in mature technology. By wafer size, it has 55-60%/40-45% capacity in 12"/8" wafers, and its capacity is mainly located in Greater China.

Investment Rationale

We have an Underperform rating on UMC, in view of the continuously keen competition from China foundries and stagnant demand in non-AI (artificial intelligence) areas, which lead to only slightly improvement in margin and ASP profile.

Stock Data

Shares / ADR	5.00
Price to Book Value	4.0x

Key Changes

(US\$)	Previous	Current
Price Obj.	9.96	18.97
2026E EPS	0.63	0.79
2027E EPS	0.65	1.09
2028E EPS	0.73	1.48

Focus charts and tables

Exhibit 1: UMC 2Q26-3Q26 and 2026-27 estimates BofAe vs. street

We lift our EPS estimates for '26/27 to NT\$5.11/7.09

	2Q26E			3Q26E			2026E			2027E		
	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street
Sales (NT\$m)	\$68,733	\$66,167	\$67,524	\$75,429	\$66,094	\$73,222	\$285,303	\$258,162	\$275,822	\$360,016	\$295,537	\$326,440
Sales QoQ / YoY (%)	12.6%	8.4%	10.6%	9.7%	-0.1%	8.4%	20.1%	8.7%	16.1%	26.2%	14.5%	18.4%
Gross profit (NT\$m)	\$20,868	\$19,902	\$20,708	\$24,604	\$19,320	\$24,295	\$90,975	\$75,606	\$87,538	\$132,800	\$88,433	\$114,447
GMs (%)	30.4%	30.1%	30.7%	32.6%	29.2%	33.2%	31.9%	29.3%	31.7%	36.9%	29.9%	35.1%
Operating profit (NT\$m)	\$13,999	\$13,164	\$13,644	\$17,391	\$12,380	\$16,736	\$62,922	\$48,453	\$59,129	\$101,426	\$58,444	\$83,338
OpMs (%)	20.4%	19.9%	20.2%	23.1%	18.7%	22.9%	22.1%	18.8%	21.4%	28.2%	19.8%	25.5%
Pretax profit (NT\$m)	\$16,314	\$15,166	\$15,870	\$19,863	\$14,884	\$18,068	\$73,517	\$58,810	\$67,617	\$105,288	\$62,427	\$89,013
Pretax margins (%)	23.7%	22.9%	23.5%	26.3%	22.5%	24.7%	25.8%	22.8%	24.5%	29.2%	21.1%	27.3%
Tax expense (NT\$m)	-\$3,219	-\$2,993	-\$2,373	-\$2,922	-\$2,190	-\$2,818	-\$9,658	-\$7,439	-\$7,201	-\$16,759	-\$9,925	-\$13,052
Tax rate (%)	19.7%	19.7%	14.9%	14.7%	14.7%	15.6%	13.1%	12.6%	10.7%	15.9%	15.9%	14.7%
Net profit (NT\$m)	\$13,095	\$12,173	\$13,498	\$16,941	\$12,694	\$15,250	\$63,859	\$51,371	\$60,416	\$88,529	\$52,502	\$75,962
Net margins (%)	19.1%	18.4%	20.0%	22.5%	19.2%	20.8%	22.4%	19.9%	21.9%	24.6%	17.8%	23.3%
EPS (NT\$)	\$1.05	\$0.97	\$1.07	\$1.36	\$1.02	\$1.21	\$5.11	\$4.11	\$4.82	\$7.09	\$4.20	\$6.15

Source: BofA Global Research estimates, Bloomberg

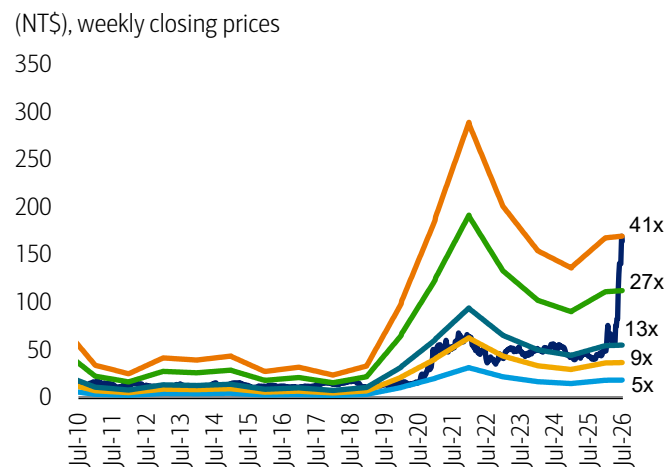
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Valuation discussion

Our PO of NT\$120 is now based on 17x 2027E P/E (was 15x 2027E P/E), which is in the upper half of UMC's 2x-25x historical range. We believe 17x target P/E is justified by UMC's high exposure to traditional tech products (80%+ of its sales), balanced by improving utilization and pricing across mature foundry industry.

Exhibit 2: UMC's P/E valuation band

UMC's current share is at upper half of its historical P/E range

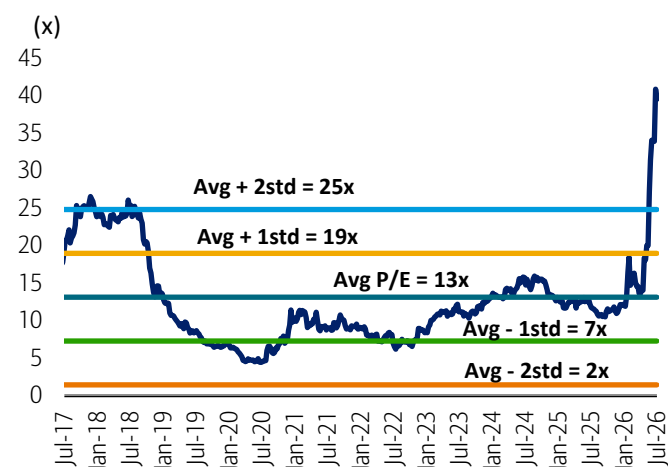


Source: BofA Global Research estimates, Bloomberg

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Exhibit 3: UMC's valuation based on BofA estimates

UMC's historical P/E range is 2-25x

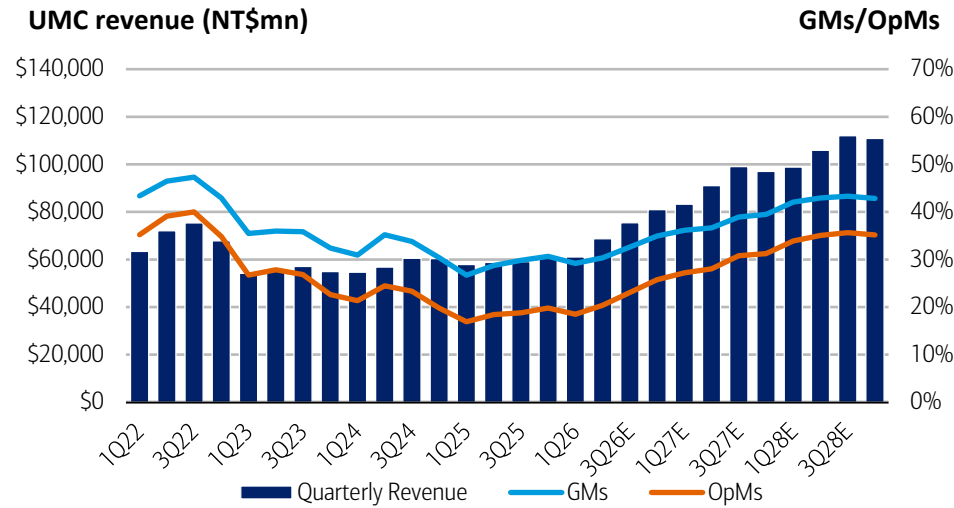


Source: BofA Global Research estimates, Bloomberg

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Exhibit 4: UMC's quarterly sales and GMs/OpMs

UMC's sales and margins are trending higher

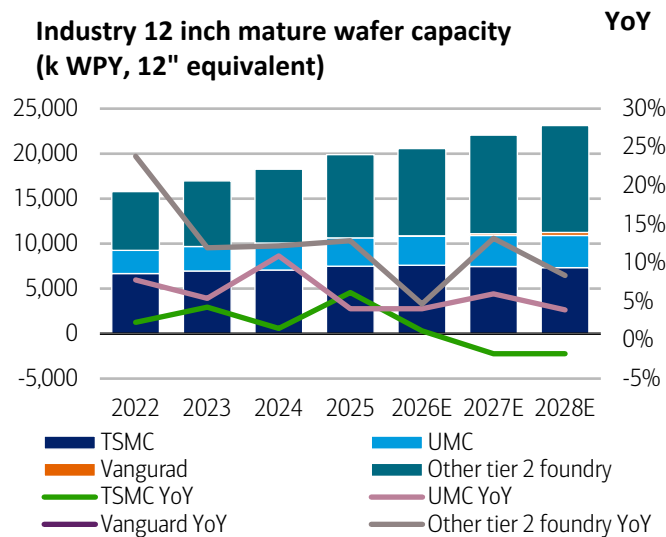


Source: BofA Global Research estimates, company data

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Exhibit 5: Industry 12 inch mature node capacity and YoY

Overall 12" mature node capacity will only see mild growth YoY

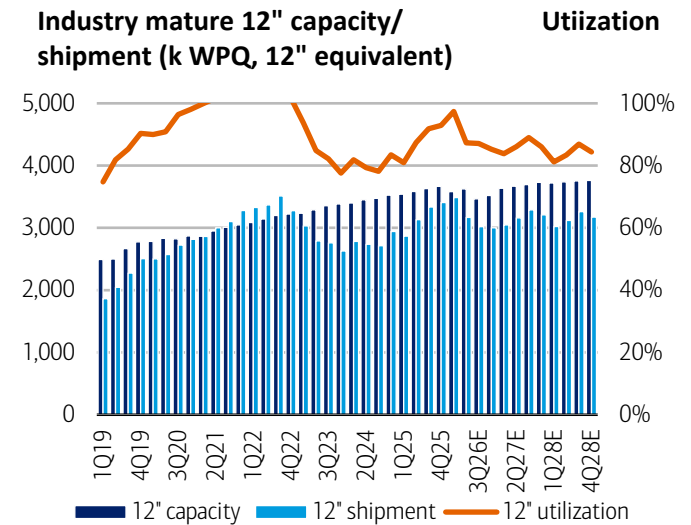


Source: BofA Global Research estimates

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Exhibit 6: Industry 12 inch mature node capacity and utilization

Industry 12" mature node utilization could remain at 80% levels



Source: BofA Global Research estimates

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Price objective basis & risk

United Microelectronics Corp. (XUMIF / UMC)

Our PO NT\$120 (ADR PO US\$18.97) is based on 17x 2027E P/E, which is in the upper half of UMC's 2x-25x historical range since 2010, when it started to generate stable net income. In our view, P/E valuation is appropriate for UMC given its solid earnings generation over the past few years. We think that our 17x target P/E is justified by UMC's high exposure to consumer applications with stagnant growth potential, balanced by improving mature nodes utilization/pricing and 5-6% dividend yield in 2026-27.

Downside risks are

- 1) softening end-demand to inflect the semis cycle, hurting the company's ASP/margin
- 2) greater competition pressure by peers when it seeks to fill its utilization during industry downturn.

Upside risks are

- 1) less intensified competition especially from the foundry peers in China, which would help underpin the margin profile
- 2) faster-than-expected progress in ramping up the sub-14nm process nodes, which helps lift the blended wafer ASP
- 3) stronger-than-expected consumer-related demand, which helps boost utilization rate and also gross margin

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Semi	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Macronix International	MXICF	2337 TT	Dai Shen
	Maxscend	XMVSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA
RSTR				
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA

iQmethodSM Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders’ Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders’ Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

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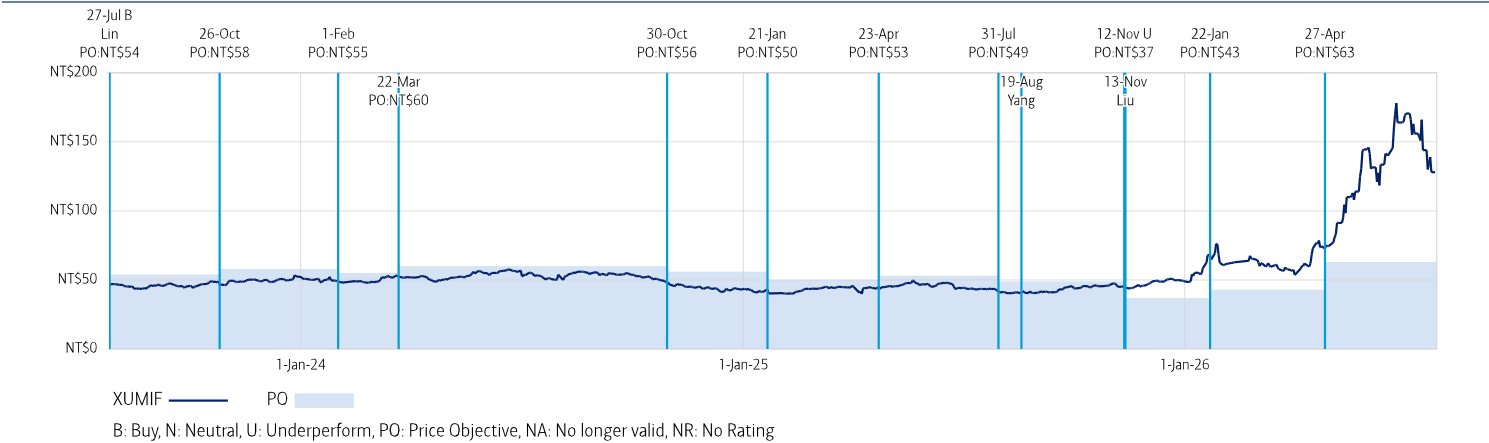
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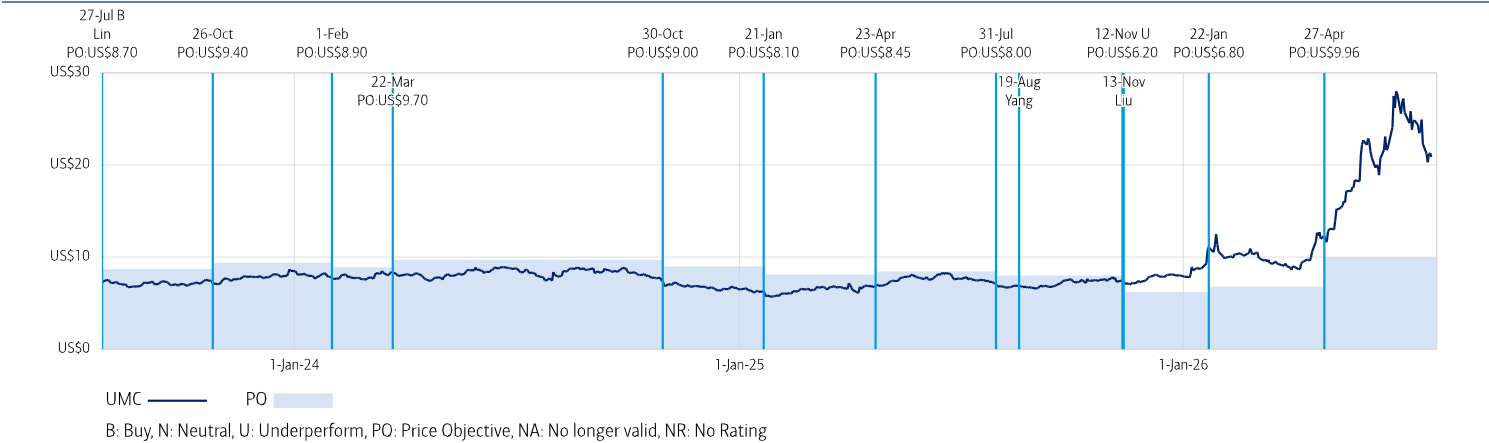
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United Microelect. (XUMIF) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

United Microelectron (UMC) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.



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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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